



NPOS & CIVIL SOCIETY

Department of Social Development (DSD) NPO Compliance Manual

A practical handbook on NPO Act registration, annual reporting and tax-exempt PBO applications

PDF GUIDE · 2.4 MB · NPO EDITION

Your Partner in Compliance, Research and Sustainable Impact

Department of Social Development (DSD) NPO Compliance Manual

Registering and maintaining an NPO under the Nonprofit Organisations Act (Act 71 of 1997) opens the door to donor funding, tax-exempt status and public trust — but only if your organisation stays compliant. This manual summarises what the Department of Social Development expects from registered NPOs each year.

ANNUAL NARRATIVE REPORT Due within 9 months of financial year-end	GOVERNING LEGISLATION NPO Act 71 of 1997	TAX EXEMPTION Separate PBO application via SARS
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1. NPO Registration Essentials

- A founding/constitution document meeting DSD's minimum clauses
- A minimum of three unrelated office bearers
- A registered physical address and postal address

The exact clause-by-clause constitution template DSD accepts without queries, and how to word your objectives to satisfy both DSD and future donors, is included in our full compliance pack.

2. Annual Reporting Obligations

Registered NPOs must submit a narrative report and financial statements annually, regardless of whether the organisation was active. Failing to report for two consecutive years is a common trigger for deregistration.

- Narrative report describing activities against your stated objectives
- Financial statements (audited, independently reviewed, or accounting officer's report, depending on annual income)
- Updated office bearer details if there have been changes

3. Tax-Exempt (PBO) Status

NPO registration with DSD and Public Benefit Organisation (PBO) approval from SARS are two separate processes. Many organisations assume DSD registration automatically grants tax exemption — it does not.

- Confirm your approved activities fall within an eligible PBO category
- Prepare founding document clauses SARS requires for PBO approval

The complete PBO application walkthrough, including Section 18A donation receipt eligibility, is covered in the full manual.

4. Good Governance Practices Donors Look For

- Board minutes kept for every quarterly meeting
- A documented conflict-of-interest policy
- Segregation of financial duties, even in small organisations

5. Risk Areas That Trigger DSD Queries

- Bank account not matching registered organisation name

- Office bearer list not updated after resignations
- Reported income inconsistent with narrative report activities

Stay compliant, stay fundable.

SARE Projects Solutions supports NGOs and NPOs with DSD registration, annual reporting, PBO applications and full donor-compliance monitoring.

Talk to us before your next reporting deadline — we'll review your current status at no cost.

071 950 6936 | hlamisto@yahoo.com | sareprojectssolutions@gmail.com

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